Pricing Margin Analysis

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Current Pricing Structure Overview

As of Q2 2024, Brightmoor Foods operates with the following average selling prices (ASPs) and costs across our core product lines:

- **Premium Artisan Bread**: ASP = EUR 8.50, Cost of Goods Sold (COGS) = EUR 4.20, Gross Margin = 48.24%
- **Organic Ready-to-Eat Meals**: ASP = EUR 6.75, COGS = EUR 3.60, Gross Margin = 46.67%
- **Specialty Snack Bars**: ASP = EUR 2.99, COGS = EUR 1.75, Gross Margin = 41.47%

Gross Margin Trends (2023 vs. 2024)

Analyzing year-over-year data reveals the following changes in gross margin percentages:

- **Premium Artisan Bread**: Increased from 45.80% in 2023 to 48.24% in 2024 (+2.44% points)
- **Organic Ready-to-Eat Meals**: Remained stable at 46.67%
- **Specialty Snack Bars**: Decreased from 43.10% in 2023 to 41.47% in 2024 (-1.63% points)

The increase in the bread category is attributed to successful renegotiations with key suppliers, reducing ingredient costs by an average of 5%. Conversely, the decline in snack bars is due to increased raw material prices, particularly nuts and seeds, which rose by 8% YoY.

Recommendations for Margin Improvement

To address the margin compression in Specialty Snack Bars and sustain growth across all categories, the following actions are recommended:

1. **Supplier Diversification**: Identify and onboard at least two new suppliers for nuts and seeds by Q3 2024 to mitigate price volatility.
2. **Product Mix Optimization**: Increase the proportion of higher-margin products, such as our premium bread lines, in promotional campaigns and distribution channels by 10% over the next quarter.
3. **Cost Rationalization**: Conduct a thorough review of packaging and logistics costs for the snack bar line, targeting a 3% reduction in associated expenses by the end of Q4 2024.

Forecasted Impact

Implementing these strategies is projected to improve the overall company-wide gross margin from the current 45.78% to 47.50% by the end of 2024, translating to an additional EUR 2.1 million in annual gross profit.

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